

Artificial Intelligence Regulation Act

Week 14 — RAG Knowledge Corpus

Structured reference companion for retrieval-augmented generation testing

Corpus size: 24 topical sections + title page

Purpose: Controlled document corpus for the Week 14 RAG application

Source basis: The bill text supplied for this project by the user

Important: This is a student-created reference companion and paraphrase. It is not the official legislative text, does not create legal obligations, and is not legal advice. The content is organized for retrieval and evaluation rather than presented as an authoritative legal publication.

Recommended RAG use: index this PDF, ask questions across multiple sections, and verify that the application returns relevant source passages beneath each answer.

1. Purpose and Scope

This reference corpus is a neutral, structured companion to the Artificial Intelligence Regulation Act text supplied for the Week 14 RAG project. It is designed for retrieval testing: each topic is written as a self-contained section so a RAG system can retrieve relevant passages.

The document describes the bill's stated objectives, coverage, institutional framework, registration requirements, risk classification, responsibilities of AI developers/deployers/operators, employment-related provisions, innovation hubs, prohibited acts, penalties, appropriations, implementing rules, separability, repeal, and effectivity.

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2. Executive Summary

The bill proposes a national framework for the development and use of artificial intelligence in the Philippines. Its stated approach is to encourage technological innovation while establishing safeguards intended to promote safety, ethical use, transparency, accountability, human oversight, sustainability, and responsible innovation.

The explanatory material identifies both opportunities and risks associated with AI. It describes potential benefits in public services, disaster resilience, agriculture, education, healthcare, and other sectors. It also identifies concerns including biased or manipulated data, discrimination, hallucination, and risks associated with highly advanced AI systems.

The bill proposes a policy-making and quasi-judicial body called the National AI Commission (NAIC), attached to the Department of Science and Technology (DOST). The proposed commission would have responsibilities relating to policy, registration, risk classification, ethics, coordination, monitoring, and enforcement.

3. Legislative Context and Policy Rationale

The supplied text begins by describing AI as a technology that is transforming industries, governance systems, and society. It states that the Philippines needs a national framework that supports an inclusive, innovative, secure, safe, responsible, and ethical digital future.

The explanatory note references international AI governance developments as context for the proposed framework. It highlights risk-based classification, transparency, accountability, and human oversight as important principles.

The policy rationale is presented as a balance: innovation should be encouraged, while AI systems should be developed and used in a manner that protects rights, safety, dignity, and the public interest. The text also emphasizes sustainability and futures thinking as considerations in national policy making.

4. Declaration of Policy

The bill states that science and technology are essential to national development and progress. It calls for priority to research and development, invention, innovation, utilization, and science and technology education, training, and services.

Within that policy context, the State would promote responsible development and use of AI to advance inclusive growth, public service delivery, innovation, and long-term national resilience. The bill also proposes institutionalizing futures thinking and sustainability as core principles in education, governance, and innovation.

The proposed policy direction is therefore not limited to regulating AI after deployment. It also concerns research, innovation, skills, governance, long-term planning, and the way AI is integrated into national development.

5. Objectives of the Act

The listed objectives include promoting innovation, technological advancement, and responsible and ethical AI use while upholding privacy, rights, safety, and dignity.

The bill recognizes AI as a tool that can complement human work, improve public service delivery, strengthen economic competitiveness, and advance scientific, educational, and technological development. It states that AI should enhance human cognition rather than degrade it.

Other objectives include balancing technological advancement with AI safety, protecting workers from undue displacement, supporting decent and sustainable work, protecting national security and human autonomy, building regulatory capacity as technology evolves, and ensuring that government AI policies are informed by futures thinking, strategic foresight, proactive risk management, transparency, accountability, and sustainability.

6. Coverage and Definitions

The proposed framework would cover the development and use of AI systems. The supplied text expressly mentions artificial general intelligence (AGI), artificial superintelligence (ASI), AI foundation models, machine learning systems, generative AI, neural networks, expert systems, large language models, and generative pre-trained transformers.

The bill defines AI in broad terms as systems that allow machines to display intelligent behavior, including analyzing data and taking actions with some degree of autonomy to achieve goals.

AGI is described as AI capable of understanding, learning, and applying knowledge across a broad range of tasks at a level equal to or surpassing human intelligence. ASI is described as a hypothetical system surpassing human intelligence across areas including creativity, decision-making, and social intelligence.

A foundation model is described as a large-scale model trained on broad data that can be adapted to downstream tasks such as question answering, summarization, translation, classification, or content generation.

7. AI Concepts and Risk Themes

The supplied text defines deployment as integrating and operating a trained AI model within an organizational infrastructure or real-world environment for its intended task. It describes expert systems as programs designed to simulate human expert decision-making.

The bill also defines futures thinking as exploring possible futures to identify unexpected opportunities and mitigate potential risks.

Generative AI is described as AI capable of producing content such as text, images, music, video, or other media. Large language models are described as generative models trained on large datasets for tasks including text generation, translation, summarization, and question answering.

The text defines AI hallucination as output that may sound plausible but is factually incorrect, fabricated, or nonsensical. It identifies intrinsic hallucination as content inconsistent with source input and extrinsic hallucination as content unsupported by input without a definitive ground truth.

8. National AI Commission

The bill proposes establishing the National AI Commission, or NAIC, as a policy-making and quasi-judicial body attached to DOST. The supplied text gives the NAIC original and exclusive jurisdiction over matters pertaining to AI, including development, promotion, registration, and regulation.

The proposed commission would provide technical support and policy alignment to government offices and other agencies involved in AI development. It would also have authority to impose administrative penalties in cases of violations under the proposed framework.

The proposal therefore combines policy, regulatory, coordination, registry, oversight, and adjudicative functions in one institutional framework.

9. Composition of the NAIC

The proposed NAIC would be chaired by the Secretary of DOST and vice-chaired by the Secretary of the Department of Information and Communications Technology (DICT).

The membership described in the supplied text includes representatives from the Department of Trade and Industry, Department of Education, Commission on Higher Education, Department of Labor and Employment, Technical Education and Skills Development Authority, Department of Justice, National Privacy Commission, Department of Economy, Planning, and Development, and the National Academy of Science and Technology.

The text also proposes representatives from the private technology sector and civil society, with relevant AI, data science, AI ethics, human rights, or digital governance expertise. Government agency members may designate permanent representatives with sufficiently senior rank and relevant expertise.

10. NAIC Secretariat

The bill proposes a Secretariat to implement and execute AI policies under the Act. The Secretariat would be headed by an Executive Director with the rank of Undersecretary.

The organizational structure and staffing pattern would be determined by the NAIC Council, subject to review and approval by the Department of Budget and Management and applicable civil service laws, rules, and regulations.

The Secretariat is therefore presented as the operational arm supporting implementation of the commission's policy and regulatory responsibilities.

11. Powers and Functions of the NAIC

The proposed functions include developing and integrating a multi-year Philippine AI Roadmap; coordinating with government agencies, local government units, and other stakeholders; maintaining a National Registry for AI Systems; and creating an AI Ethics Review Board.

Other proposed functions include conducting ethical and sustainability reviews, implementing a risk-based regulatory framework, certifying and monitoring AI-related risks, supporting Filipino-developed AI through partnerships and grants, coordinating with privacy and intellectual-property authorities, and prioritizing AI applications in areas such as agriculture, health, education, disaster risk reduction, governance, environmental sustainability, renewable energy, and biodiversity.

The text also proposes public-facing functions, including an online portal for registered AI systems and complaints, as well as audit, inspection, suspension, complaint handling, and administrative enforcement functions.

12. Philippine AI Roadmap

The bill proposes a multi-year Philippine AI Roadmap to guide national and local efforts in harnessing AI. The roadmap would establish clear targets and would be reviewed at least every three years, or as necessary, to adapt to rapidly evolving global and technological trends.

The roadmap is connected to the bill's broader emphasis on futures thinking, strategic foresight, sustainability, and proactive risk management.

For RAG purposes, questions about the roadmap should be answered by distinguishing what the bill proposes from any separate national strategy or policy that may exist outside the supplied document.

13. National Registry of AI Systems

The proposed National Registry of AI Systems would be established, maintained, and regularly updated by the NAIC.

The supplied text states that natural or juridical persons, whether public or private and local or foreign, who develop, deploy, operate, import, sell, or provide access to AI systems in the Philippines would be required to register such systems.

The proposal states that AI systems would not be imported, sold, deployed, or publicly accessed in the Philippines without prior registration and compliance with applicable regulatory and ethical standards.

The registry would also be maintained in accordance with Philippine data-protection and cybercrime laws identified in the supplied text.

14. AI Registration Information

The proposed registration information includes the AI system's name and description, intended purpose and sector of deployment, developer/deployer/distributor information, and the nature of the AI foundation model.

The application would also include data sources, intended use, safeguards for training or development, the status or date of data gathering and processing, and certification regarding mechanisms designed to prevent criminal, fraudulent, or harmful use.

Other proposed information includes risk classification, compliance with AI safety, transparency, accountability, explainability, and ethical standards, mechanisms for addressing discrimination, misuse, harm, or unintended consequences, mechanisms for redress or adverse-incident reporting, and relevant licenses or certifications.

15. Risk Classification

The bill proposes three risk tiers: high-risk, moderate-risk, and low-risk.

High-risk AI is described as systems whose decisions or operations significantly affect public safety, identity, fundamental rights, livelihoods, or access to essential services. Examples listed include education, healthcare, law enforcement, critical infrastructure, justice, finance, and public administration. High-risk systems would undergo algorithmic impact assessments, data privacy reviews, and sustainability screening before certification.

Moderate-risk AI is described as systems with limited or reversible effects, including process automation, service optimization, internal evaluations, and resource allocation.

Low-risk AI is described as systems with minimal potential impact, including administrative support, personalized content delivery, and basic data visualization where rights, safety, or public interest are not materially affected.

16. Responsibilities of AI Developers, Deployers, and Operators

The proposed responsibilities include developing and using AI responsibly, ethically, and transparently; conducting algorithmic audits for bias, security, and privacy; and clearly disclosing when users are interacting with AI.

The text also proposes that developers, deployers, and operators take responsibility for harms or unlawful outcomes resulting from their AI systems.

A further safeguard is a mechanism to immediately halt, shut down, or disable an AI system if it behaves unpredictably, autonomously exceeds its intended function, causes harm, or commits crime or fraud.

17. AI in Employment and Labor Protection

The proposed employment provisions direct the NAIC, in coordination with other agencies, to regulate AI use by employers and business owners where adoption may cause worker displacement, redundancy, or significant changes in labor conditions.

The bill proposes AI job classification standards, including definitions of AI-related occupations, roles, and skill levels and links between job classifications, wage and labor standards, and employment services.

It also proposes advance notification and impact assessment for employers adopting AI that may result in displacement, retrenchment, or redundancy. The proposed framework includes an AI Deployment Impact Report, advance notice to DOLE, retraining, upskilling, redeployment, transition assistance, and engagement with affected workers on alternative employment pathways.

18. Tripartite Oversight and Skills Future-Proofing

The bill proposes a Tripartite AI and Labor Transition Council composed of representatives from government, employers, labor groups, and civil society. Its proposed functions include reviewing AI-related employment trends, recommending safeguards, and facilitating labor-management dialogue in sectors undergoing AI transformation.

The bill also proposes skills mapping and future-proofing. This includes regular labor-market evaluation to identify job categories at risk of automation and proactive skills development aligned with emerging AI demand.

The text proposes support for technical-vocational education, apprenticeships, and digital skills training, together with government-led or subsidized upskilling for workers in high-risk industries.

19. Employment Guarantee and Monitoring

The proposed employment provisions include employment guarantee mechanisms or public-sector work programs for workers displaced by AI-induced changes in employment.

The bill also proposes monitoring and enforcement mechanisms for AI-induced layoffs, with sanctions for non-compliance that may include administrative fines, revocation of business permits, or disqualification from government incentives.

These provisions connect AI governance with labor-market transition policy and emphasize preparedness, retraining, redeployment, and worker support rather than treating AI deployment only as a technology issue.

20. AI and Sustainable Innovation Hubs

The bill proposes Regional AI and Sustainable Innovation Hubs in partnership with the NAIC, DOST research centers, state universities and colleges, and NAIC-accredited private institutions.

The hubs would support specialized training tracks, research laboratories, public-private innovation hubs, and startup incubation programs.

The stated objective is to encourage homegrown AI talent and Filipino-developed AI technologies. The capacity-building provisions are described as inclusive and accessible and are intended to align with national development priorities and promote innovation in government-related sectors.

21. Prohibited Acts and Penalties

The supplied text identifies several prohibited or sanctionable categories.

These include development or deployment of unregistered AI systems; use of AI to commit, facilitate, or conceal fraud or crimes or cause harm; violations of safeguards or rules issued under the framework; failure to disclose AI-generated content or required disclaimers in specified sensitive contexts; negligent operation of harmful or malfunctioning AI systems; use of AI for manipulation of public opinion, disinformation, or unlawful surveillance; and misrepresentation of AI-generated content as human-made for purposes of deceit, manipulation, or commercial gain.

The text describes monetary fines, possible imprisonment, suspension or revocation of registration or certification, compliance training or ethics audits, and other consequences depending on the violation.

22. Appropriations, Implementing Rules, and Effectivity

The bill states that amounts necessary for implementation would be charged against current DOST appropriations and that continuing requirements would be included in the annual General Appropriations Act.

The proposed implementing rules and regulations would be promulgated by DOST, DICT, and other relevant agencies within ninety days from effectivity.

The separability clause provides that if a portion of the Act is declared unconstitutional, the remaining provisions not affected would remain in force.

The repealing clause addresses laws, decrees, issuances, executive orders, letters of instruction, rules, or regulations inconsistent with the proposed Act.

The effectivity provision states that the Act would take effect fifteen days after complete publication in the Official Gazette or a newspaper of general circulation.

23. RAG Question Guide

This section provides example retrieval questions for the Week 14 application.

Policy and purpose: What is the purpose of the proposed Act? What principles guide AI development under the proposal? What does the bill say about human oversight?

Definitions: What is AI? How are AGI and ASI described? What is a foundation model? What is an AI hallucination?

Governance: What is the NAIC? Who would chair the commission? What agencies and sectors are represented? What are the proposed powers of the NAIC?

Registration: What systems must be registered? What information would an AI registration contain? What is the proposed National Registry?

Risk: What are the three risk tiers? What qualifies as high-risk? What additional assessments are proposed for high-risk systems?

Employment: What does the proposal say about worker displacement? What is an AI Deployment Impact Report? What retraining or redeployment measures are proposed?

Enforcement: What acts are prohibited? What types of penalties are described? What is the proposed approach to harmful or malfunctioning AI?

Implementation: What does the bill say about appropriations, implementing rules, separability, repeal, and effectivity?

Topic	Example question
Purpose	What is the purpose of the proposed Act?
Definitions	How are AGI, ASI, and foundation models described?
Governance	What is the proposed role of the NAIC?
Registration	What information would an AI registration contain?
Risk	What are the proposed high-, moderate-, and low-risk tiers?
Employment	What does the proposal say about worker displacement?
Enforcement	What acts are prohibited and what penalties are described?
Implementation	What does the proposal say about effectivity and implementing rules?

24. Corpus Metadata and Limitations

Document type: Student-created RAG reference corpus.

Primary source basis: the Artificial Intelligence Regulation Act text supplied by the user for the Week 14 project. The source text identifies itself as a Senate bill introduced by Senator Pia S. Cayetano and includes an explanatory note and proposed sections.

Purpose of this corpus: retrieval-augmented generation demonstration, source retrieval testing, and question-answering evaluation.

Limitations: this document is a structured companion and paraphrase, not the official legislative text. It intentionally separates topic summaries to improve retrieval. It does not incorporate subsequent legislative amendments, committee reports, implementing rules, later versions of the bill, or external legal interpretations.

For legal or policy research, the official legislative record should be consulted separately. For the Week 14 RAG demonstration, this corpus should be treated as the controlled knowledge base.